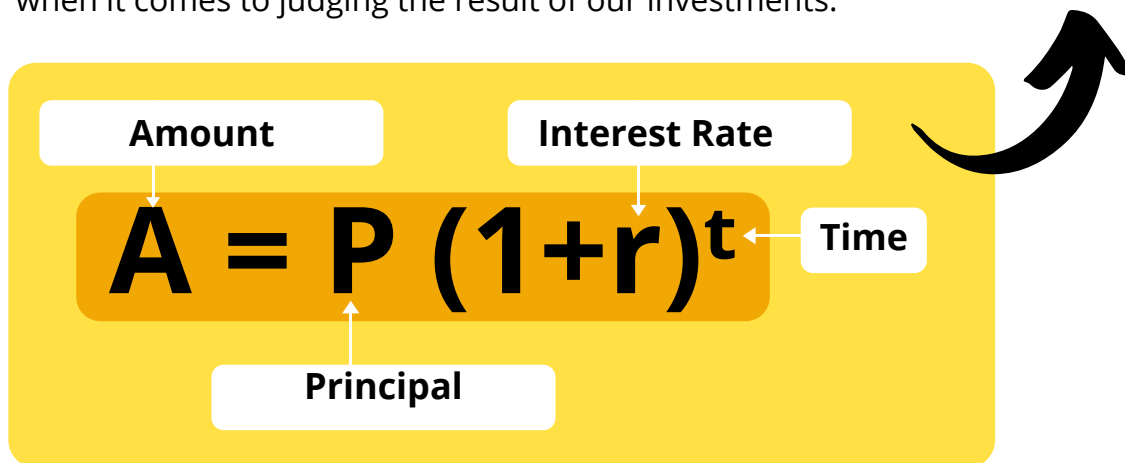


TIME HORIZON

The time element is relatively simple and can be created based on return goals that we have identified. We will use the quantified goals that we had listed earlier to create a timeline for ourselves the goal we would want to focus on financially and the time for the same. This will give us a comprehensive understanding of the Financial Timeline. We will develop a timeline accounting for all the major financial milestones and also personal milestones.

But first, why is time horizon so important? When we calculate the final output of our investments, three factors play a role i.e. the initial amount invested (Principal Amount), the rate of return and the number of years. Time horizon is one of the most important factors when it comes to judging the result of our investments.



Let us get started with a couple of exercises. First, we need to estimate the time to achieve each goal and their flexibility in terms of time. Well, we have learnt a lot about this in goal settings. We would have quantified each goal and estimated its flexibility. We see how each stage in profiling is inter-related with others and together they create the lazy canvas.

The time we have before we need to meet a particular and the degree of risk that we can take together determine what asset class we should invest in.



TODAY